

30 Other risk controls

21 primary questions | Oldest to newest

2026 objectives: 4.7.4-4.7.6, 5.1.1

30 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 April 2005 Q3	11 marks
CA1-P2 April 2006 Q5	12 marks
CA1-P2 September 2006 Q6	17 marks
CA1-P2 April 2007 Q4	9 marks
CA1-P2 April 2007 Q5	15 marks
CA1-P2 September 2007 Q5	24 marks
CA1-P2 September 2007 Q6	17 marks
CA1-P2 April 2008 Q5	16 marks
CA1-P2 September 2009 Q3	13 marks
CA1-P2 April 2011 Q2	8 marks
CA1-P2 September 2011 Q3	11 marks
CA1-P2 September 2013 Q3	12 marks
CA1-P2 September 2014 Q1	6 marks
CA1-P2 April 2015 Q6	19 marks
CA1-P2 September 2015 Q3	13 marks
CA1-P2 September 2015 Q4	15 marks
CA1-P2 April 2016 Q3	11 marks
CA1-P2 September 2016 Q5	13 marks
CA1-P2 September 2017 Q6	24 marks
CA1-P2 September 2018 Q5	19 marks
CP1-P2 September 2020 Q1	47 marks

CA1-P2 | April 2005 | Q3

Current topic | 11 marks total | Original PDF p2

Related: Ch 22.

- 3** A general insurance company sells household contents insurance that covers domestic residential property against fire, theft, storm, flood and accidental damage. Instead of setting the premium based on the value of the contents chosen by the applicant, it proposes to base the premium on the number of bedrooms in the property, and to give unlimited cover. Other factors used in assessing the premium to be charged (such as the location of the property, type of construction and security systems) will be unchanged.
- (i) Discuss the advantages and disadvantages of the new approach from the point of view of the applicant and the company. [8]
- (ii) Describe the controls that could be included in the product design or the underwriting process to mitigate any disadvantages to the company. [3]
- [Total 11]

CA1-P2 | April 2006 | Q5

Current topic | 12 marks total | Original PDF p2

Related: Ch 21.

- 5** A large motor insurer has noted that claims management expenses as a proportion of claims costs have been increasing steadily over recent years. The proportion is now 6.25% of claims costs compared with 5% five years ago.

(i) Discuss why this increase may have occurred. [3]

(ii) Discuss possible actions the company can take to reverse the position. [2]

It has been suggested to the company that it can reduce both claims management expenses and the costs of carrying out vehicle repairs, by acquiring a chain of vehicle repair garages and requiring that repairs are carried out at the insurer's own garages.

(iii) Describe how this approach may reduce costs. [3]

(iv) Outline the issues the company will need to consider before proceeding with the acquisition. [4]

[Total 12]

CA1-P2 | September 2006 | Q6

Current topic | 17 marks total | Original PDF p3

Related: Ch 25.

- 6**
- (i) Set out a possible structure for analysing the risks of a financial product provider. [4]
 - (ii) Discuss the main management control systems that can be used by a life insurance company to reduce its exposure to risk. [5]

A life insurance company writes whole of life assurance contracts on the following bases:

- (a) non-linked, without profits
 - (b) non-linked, with profits
- (iii) Discuss how the company can limit its exposure to mortality and investment risks in each of the above contracts. [8]
- [Total 17]

CA1-P2 | April 2007 | Q4

Current topic | 9 marks total | Original PDF p2

Related: Ch 18, Ch 23.

- 4** (i) Outline the considerations that need to be taken into account when designing an insurance proposal form. [5]

An insurance company has decided to start selling health insurance.

- (ii) List the information from the proposal form that will need to be considered when pricing such a policy. [4]
[Total 9]

CA1-P2 | April 2007 | Q5

Current topic | 15 marks total | Original PDF p3

Related: Ch 1.

- 5 (i) List the areas where an actuary could give professional advice to a manufacturing company. [5]

A manufacturing company offers its employees a salary continuance benefit that comes into payment in the event of long-term absence through ill-health. It also sponsors a defined contribution pension plan to which the employer contributes 10% of each employee's basic salary.

The salary continuance benefit is currently insured. The main features of the benefit are:

- The benefit is payable after continuous sickness absence of 10 weeks, up until the employee's 65th birthday or earlier return to work.
- The benefit payable is 70% of the employee's basic earnings (pre-sickness), increasing annually at a fixed rate of 4% per annum.
- During payment of the benefit, the employee remains a member of the pension plan and continues to accrue benefits – the insurance meets the cost of the 10% pension contributions.

The company has asked how it could reduce the cost of the salary continuance benefit.

- (ii) Discuss the actions the company can take. [10]
[Total 15]

CA1-P2 | September 2007 | Q5

Current topic | 24 marks total | Original PDF p2

Related: Ch 37, Ch 38.

- 5** A major retail company sponsors a well-funded final salary pension scheme. Recently the costs of the scheme have been increasing dramatically. The finance director of the company has set the objective of reducing the future volatility of the contribution rate, without making any changes to the scheme's benefit structure.

- (i) Outline the options that are available to achieve the finance director's objective. [7]

The company decides to control the costs of the scheme by limiting the growth in pensionable salary. Increases in pensionable salary will be restricted each year to the rate of price inflation, and non-pensionable bonuses will form a larger element of overall remuneration.

If an employee is promoted, their pensionable salary may be increased to reflect their new responsibility. This promotional increase would be in addition to the annual inflationary increase.

- (ii) Comment on the practical issues that will need to be addressed in order to implement this strategy. [4]

CA1-P2 | September 2007 | Q5 - continued

Current topic | 24 marks total | Original PDF p3

Related: Ch 37, Ch 38.

It is now three years since the strategy was implemented. The inflationary increases to pensionable salary in the last three years have been 1.8%, 0.8% and 3.3% respectively.

The following tables are excerpts from the membership data for the actuarial valuation due to be carried out this year, and from the actuarial assumptions used in the last valuation.

Table 1: details of average pensionable salaries by age for members who have been in service continuously from the last valuation to this valuation

<i>Age nearest x</i>	<i>Average pensionable salary at this valuation for members aged x at this valuation</i>	<i>Average pensionable salary at last valuation for members aged x at this valuation</i>
	€	€
38	31,374	28,980
39	28,841	25,776
40	57,894	53,646
41	37,640	34,676
42	32,415	30,160

Table 2: promotional salary scale assumption s_x used in the last valuation

<i>Age nearest x</i>	s_x
35	223
36	228
37	233
38	238
39	243
40	247
41	250
42	253

The promotional scale s_x excludes any allowance for annual inflationary increases to pensionable salary.

- (iii) Extend Table 1 to show calculations for the following figures in respect of the above scheme membership over the triennial intervalation period:

- actual promotional salary growth
- expected promotional salary growth
- the actual/expected percentage for promotional salary growth

Include details of the formulae you have used. [6]

- (iv) (a) Comment on the results in part (iii), and
- (b) Describe the further investigations and actions that might be appropriate.

[7]

[Total 24]

CA1-P2 | September 2007 | Q6

Current topic | 17 marks total | Original PDF p4

Examiner report and original paper: use the links for this question in index.html.

- 6**
- (i) Describe how underwriting is used to manage a life insurance company's risks. [5]
 - (ii) List the sources of information that a life insurance company can use in the underwriting process to establish the level of mortality risk for a particular applicant. [3]

A life insurance company operates in a country where it is compulsory to purchase an annuity with the proceeds of pension policies at retirement. For many years the company has offered enhanced annuity rates to people in poor health. The rates offered have been based on a medical examination of each applicant. The company has a specialist medical officer who determines the applicant's likely additional mortality by analysing the medical examination report.

The company has now decided to implement a "points scoring" underwriting process, where it assigns points to the most common conditions, based on the severity of the condition and the extent and duration of the symptoms. The annuity rate offered depends on the total points scored.

- (iii) Discuss the implications for the company of implementing this process. [9]
- [Total 17]

CA1-P2 | April 2008 | Q5

Current topic | 16 marks total | Original PDF p3

Related: Ch 23, Ch 27.

- 5**
- (i) (a) Define self-insurance in the context of general insurance.
 - (b) Explain why some organisations may choose to self-insure some of the risks that they face. [3]

A small company owns a chain of 30 retail units in and around a large city. The vast majority of transactions in the business involve cash. The annual turnover for each retail unit varies between \$500,000 and \$3,000,000. At present, the company does not have insurance against robbery, burglary or theft.

The company has now decided to obtain quotations for such insurance cover.

- (ii) Outline the general information an insurance company would need in order to set appropriate premiums. [7]
 - (iii) Describe specific measures that the retailer could take to reduce the risk of a claim and hence obtain a reduction to the premiums in (ii) above. [6]
- [Total 16]

CA1-P2 | September 2009 | Q3

[Current topic](#) | 13 marks total | [Original PDF](#) p2

Related: Ch 8.

- 3**
- (i) Define the terms: credit risk and credit rating. [2]
 - (ii) Discuss how the credit risk of an investment fund that invests in corporate bonds could be reduced. [8]
 - (iii) Outline the limitations of credit ratings. [3]
- [Total 13]

CA1-P2 | April 2011 | Q2

Current topic | 8 marks total | Original PDF p2

Related: Ch 19.

- 2** In conjunction with a marketing promotion, a life insurance company has decided to offer a free one-year term assurance product to mothers of children born during a particular promotional period. The sum assured is £10,000 payable on the death of the mother if this occurs before the child's first birthday.

Application forms are included in a pack given to prospective new mothers.

- (i) Outline the assumptions that the life insurance company would need to make in order to evaluate the size of the risk being taken on. [2]
 - (ii) Discuss how the risks taken by offering this product can be managed. [6]
- [Total 8]

CA1-P2 | September 2011 | Q3

Current topic | 11 marks total | Original PDF p2

Related: Ch 6.

- 3** An insurance company writes regular premium with profits endowment assurance business. In recent years, there has been an economic downturn and many policyholders have been struggling financially.
- (i) Describe the options the company could offer to policyholders who are unable to meet the full premiums due under their policies. [7]
 - (ii) Discuss how these options might differ for term assurance policies. [4]
- [Total 11]

CA1-P2 | September 2013 | Q3

Current topic | 12 marks total | Original PDF p2

Related: Ch 21.

- 3** A large multinational general insurance company sells a wide range of policies including travel insurance and health insurance. An analysis of its claims management expenses has shown that these expenses for the travel policies have been increasing steadily over recent years as a proportion of claims costs. The proportion is now 6.0% of claims costs compared with 3.9% five years ago.

- (i) Outline possible reasons for this increase. [4]
- (ii) Propose actions that the company could take to reduce this proportion. [2]

The company has also analysed claims costs. It has noted that a large proportion of travel claims costs relate to medical treatment. Its health insurance business runs chains of hospitals in each country where it sells health policies, and requires policyholders to use these hospitals for treatment covered under the health policies. The company is considering a proposal to require travel insurance policyholders to use these hospitals for treatment under their travel policies; this proposal is intended to lower both claims management costs and the treatment costs.

CA1-P2 | September 2013 | Q3 - continued

[Current topic](#) | [12 marks total](#) | [Original PDF p3](#)

Related: Ch 21.

- (iii) Outline how this proposal may lower both costs. [3]
 - (iv) Set out the issues which the company should take into account before adopting the proposal. [3]
- [Total 12]

CA1-P2 | September 2014 | Q1

Current topic | 6 marks total | Original PDF p2

Related: Ch 25.

- | | | | |
|----------|------|--|-----------|
| 1 | (i) | Define credit risk. | [1] |
| | (ii) | Describe the principles fundamental to good lending. | [5] |
| | | | [Total 6] |

CA1-P2 | April 2015 | Q6

Current topic | 19 marks total | Original PDF p3

Related: Ch 26.

- 6** An insurance company intends to offer a contract to individuals who are currently ill. The insurance company will pay medical and care costs relating to the current illness in return for an initial single premium.
- (i) Discuss the risks that the company would be taking on. [8]
 - (ii) Discuss how the underwriting process could be used to assess/price the risks. [7]
 - (iii) Describe other management tools that the company could use to control these risks. [4]
- [Total 19]

CA1-P2 | September 2015 | Q3

Current topic | 13 marks total | Original PDF p3

Related: Ch 27, Ch 3.

- 3** (i) Describe the ideal criteria for risk events to be insurable. [4]

An insurance regulator is concerned that a large number of term assurance claims are being declined. Hence, a new regulation is being introduced that only permits term assurance claims to be declined if the relevant insurance company can prove that the claim is fraudulent. The regulation will apply to both new and existing policies.

- (ii) Discuss the potential implications of this new regulation on insurance companies' approaches to claims and claims management. [6]
- (iii) Suggest other possible actions that insurance companies may have to take in relation to new term assurance policies. [3]
- [Total 13]

CA1-P2 | September 2015 | Q4

[Current topic](#) | [15 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 4**
- (i) Explain why a motor insurance company may want to investigate certain claims. [4]
 - (ii) Describe the main criterion that the insurance company would use to determine whether or not to investigate a particular claim. [3]

A motor insurance company has reason to believe that an organised gang of criminals are causing accidents in order to create a large number of fraudulent claims. For example, attempting to claim under other drivers' third party liability policies.

- (iii) Discuss the features of particular claims that the insurance company could consider when trying to identify and investigate such fraudulent claims. [8]
- [Total 15]

CA1-P2 | April 2016 | Q3

[Current topic](#) | [11 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

3 An insurance company is considering introducing a no claims discount system for its motor portfolio.

(i) Explain the advantages and disadvantages of this to the insurer. [9]

(ii) Explain the advantages and disadvantages of this to the policyholder. [2]

[Total 11]

CA1-P2 | September 2016 | Q5

[Current topic](#) | 13 marks total | [Original PDF](#) p3

Examiner report and original paper: use the links for this question in [index.html](#).

- 5** A family have just returned from holiday to find that their home has been severely damaged by fire.
- They intend to make a claim under their home insurance policy to cover the significant losses and costs they have incurred.
- (i) List the steps an insurance company may require the family to follow in order to process their claim. [4]
 - (ii) Discuss why the insurance company will view each step as being necessary. [9]
- [Total 13]

CA1-P2 | September 2017 | Q6

Current topic | 24 marks total | Original PDF p4

Related: Ch 3, Ch 8.

6 Two small specialist banks, based in the same country, exist mainly to provide loans:

- Shortloan Bank lends to retailers and other trading companies. The loans they provide are for up to six months, to help borrowers meet their short term working capital requirements.
- Longloan Bank lends to large organisations that undertake long term development projects. The loans they provide are generally for at least five years.

In order to raise part of the funds necessary to provide these loans, both banks borrow from their government. The interest rate charged by the government is less than that charged by the banks on the loans they provide.

- (i) Suggest how a regulatory framework set by the government may limit what **these banks** are able to do in terms of investment. [6]
- (ii) Suggest possible reasons why the government chooses to lend to the banks rather than directly to the banks' customers. [4]

In addition, these banks also raise funds by issuing securities into the financial markets.

- (iii) Justify, for each of the two banks, which of the following securities would be the most appropriate to issue:
 - money market instruments
 - index linked bonds
 [5]
 - (iv) Describe how Shortloan Bank could use the fundamental principles of good lending to assess the suitability of individual loan applications it receives. [9]
- [Total 24]

CA1-P2 | September 2018 | Q5

Current topic | 19 marks total | Original PDF p4

September 2018 main paper, recovered from the supplied archive; the extracted folder had contained the spare paper under this date. Related: Ch 23, Ch 38.

- 5** (i) Assess the issues with the underwriting data available for a renewal versus a new policy. [7]

A general insurance company writes annual buildings and contents insurance business. The company regularly reviews premium rating factors, underwriting process and risk management for the product lines it writes.

- (ii) Discuss how the insurance company could make an allowance for the time since a policy was originally taken out in each of:
- (a) Level of cover.
 - (b) Underwriting.
 - (c) Risk management.
- [7]
- (iii) Explain why the company regularly reviews its premium basis. [5]
- [Total 19]

CP1-P2 | September 2020 | Q1

Current topic | 47 marks total | Original PDF p2

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 22, Ch 23, Ch 15, Ch 26, Ch 37.

1 Background

An insurance company in a developed country offers a wide range of life and general insurance products.

The company's board has commissioned several projects to improve its business results.

Project 1

The government has introduced a requirement for all companies that own their own commercial properties to purchase commercial property insurance that covers the policyholder in the event of fire damage to its property. Although the company offers property insurance products, it does not offer this specific product and the board wishes to expand into this market by launching a commercial property insurance product.

Project 2

The payments in respect of the sum assured paid out under one of its group life term assurance policies increased significantly over the year, following an explosion that caused multiple fatalities at a factory. The board wishes to review the pricing of future group life term assurance policies and consider how it can improve the management of the risks under these policies.

Project 3

Responsible investment is an investment strategy that integrates environmental, social and governance factors into investment analysis and decisions.

The board wishes its defined benefit scheme to increase the proportion of the scheme's assets that are invested in 'Responsible Investments' and has earmarked a significant investment in either:

- (a) an electricity company using solar and wind power to produce electricity; or
- (b) a 'Responsible Investments' fund offered by an external investment manager, investing in a range of different companies.

Project 4

The company currently sells an income protection product that pays out an income in the event of incapacity. The beneficiaries covered by this product are required to visit a local doctor every year to confirm they remain eligible to continue to receive the benefit over the next 12 months. To control and manage the costs of providing these benefits, the company wishes to appoint its own doctors to make the assessment instead.

CP1-P2 | September 2020 | Q1 - continued

Current topic | 47 marks total | Original PDF p3

Integrated case study. The full scenario is retained under one primary chapter; related chapters identify its other substantial topics. Related: Ch 22, Ch 23, Ch 15, Ch 26, Ch 37.

Questions

- (i) Discuss how the proposals should be prioritised. [3]
 - (ii) Outline the factors that the company would need to consider for a launch of the new product under Project 1. [6]
 - (iii) Describe how the company would review the pricing of the product under Project 2. [6]
 - (iv) Discuss how the company can manage and control its risks in Project 2. [8]
 - (v) Compare the two investment options under Project 3 in relation to the impact each option would have on both the company and the defined benefit pension scheme. [8]
 - (vi) Suggest the possible impact of the board's decision for both options under Project 3 on the scheme's funding and risk position. [8]
 - (vii) Outline how the company could, by appointing its own doctors under Project 4, control its benefit payments and costs. [8]
- [Total 47]